

USD/JPY has broken below our assumed 155-165 range

Still too early to conclude a lower range

- Amid rising expectations of BOJ rate hikes and speculation about a possible GPIF allocation shift, USD/JPY has broken below the 155–165 range that we had assumed as our base case. However, our base case assumes that policy actions will fall short of market expectations.
- This week's range break in USD/JPY cannot be explained by BOJ rate hike expectations or by GPIF-related activity indicated by available information (such as flow data). That said, visibility remains limited regarding the GPIF's behavior during the yen appreciation phase since the start of September.
- **While market focus on policy changes could continue to exert downward pressure on USD/JPY in the near term, the risk is also rising that the JPY could be sold if policy responses fail to meet market expectations, especially given the magnitude of the recent yen appreciation.**
- A change to the GPIF's basic portfolio is far from a done deal, and the flow data did not suggest that an allocation shift has begun. A BOJ rate hike in September is already priced in, and challenges remain for communication that would satisfy market expectations.
- Moreover, because factors such as Fed rate hikes (the September FOMC could be a close call) and concerns about Japan's fiscal policy could also push USD/JPY higher, **we believe it is premature to conclude that the 155–165 range for USD/JPY should be revised lower.**
- Since the medium-term outlook for USD/JPY will depend on how US and Japanese policies evolve over the coming weeks, we will continue to monitor developments closely.
- **As a short-term trade, we maintain our short SEK/JPY position (established on August 21), but tighten the take-profit stop to 3.25%.**

Since the start of this week, USD/JPY has clearly broken below 155, which had been viewed as a major support level, and it extended its decline to the 152 level, marking the lowest level since February. It appears that speculation about a change to GPIF's basic portfolio and rising expectations of BOJ rate hikes have been leading the recent yen strength. In the scenario analysis, we noted that if the BOJ hikes at a pace roughly in line with—or slightly above—what the market is currently pricing, and if GPIF proceeds with changes to its basic portfolio, USD/JPY would be likely to break below 155–165 and decline (see [note](#) and [note](#)). Is this yen-strength scenario now materializing?

To give the conclusion upfront: in the short term, **market attention to potential policy changes could continue to weigh on USD/JPY, but given the magnitude of the recent yen appreciation, we also see rising risk that the JPY could be sold if policy actions fail to meet market expectations. In addition, because factors such as Fed hikes and Japan's fiscal policy could affect USD/JPY dynamics, we view it as too early to conclude that the 155–165 range has shifted lower.** Nonetheless, with the possibility that yen appreciation pressure may persist in the near term, **we maintain short SEK/JPY position with the take-profit stop tightened to 3.25%.**

See page 6 for analyst certification and important disclosures.

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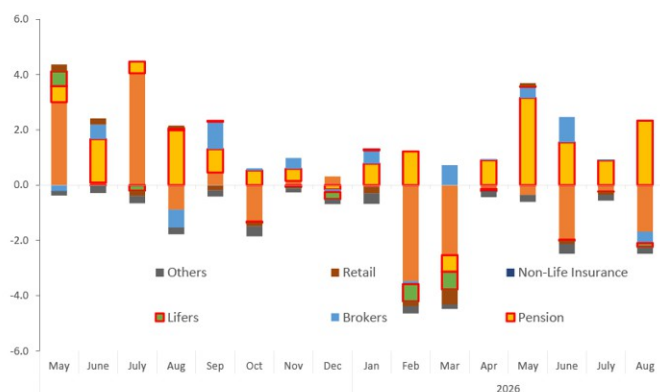
GPIF

In our base case (USD/JPY in a 155–165 range), we assume that the GPIF increases purchases of yen-denominated assets within the scope of the current framework; we have also viewed that if the basic portfolio is changed, the likelihood of a downside break of the USD/JPY range (yen appreciation) would rise. A series of developments suggesting the possibility of changes to the basic portfolio may appear to have increased the probability of the yen-strength scenario. **At this point, however, changes to the basic portfolio are still far from a done deal, and even if they do materialize, they would take a considerable amount of time.**

From the perspective of actual flows as well, **at least based on available data, there are no signs of a shift from foreign-currency assets to yen assets.** In the August monthly overseas portfolio flow data released by the MOF, the “trust banks (trust accounts),” which are believed to reflect pension fund flows and were closely watched from the standpoint of a GPIF allocation shift, were shown to have been net buyers last month of both foreign equities by JPY 0.6 trillion (our estimate: -JPY 1.7 trillion) and bonds by JPY 2.3 trillion (our estimate: +JPY 0.9 trillion), and there was no indication of a change in the GPIF’s portfolio (Figure 1, Figure 2). These figures were in the opposite direction from the widely expected shift in the market from foreign assets to domestic assets (see [note](#)).

That said, the sharp rise in JPY occurred after the start of September, and visibility remains limited regarding the GPIF’s actions during the most recent yen appreciation phase. At present, the only available information that may reflect September’s activity is last week’s figure of the MOF weekly portfolio flow data. However, there were no notable movements in either foreign equities or foreign bonds (though this should be interpreted with some caution, as the weekly data do not provide figures broken down by investor type).

Figure 1: In August, pension funds were large net buyers of foreign bonds
JPY trillion: Overseas medium- to long-term bond investment by investor type



Source: BOJ, JMOF, J.P.Morgan

Figure 2: The August monthly portfolio data does not suggest the start of a GPIF allocation shift

JPY tn: Estimated flows that would occur if the GPIF rebalanced each asset class to 25% at month-end

	Domestic bonds	Domestic equities	Foreign bonds	Foreign equities
Estimate	2.2	-1.5	0.9	-1.7
Actual	?	-0.6	2.3	0.6

Source: JMOF, J.P.Morgan estimates

BOJ rate hike expectations

Regarding BOJ rate hike expectations, for a period following the launch of the Takaichi administration, rising expectations of BOJ rate hikes and JPY depreciation progressed simultaneously. We think this reflected speculation that, under pressure from the administration, the BOJ would end up falling behind the curve—thereby accelerating JPY weakness—and that the Bank would ultimately be forced into large-scale rate hikes (Figure 3). By contrast, the recent rise in BOJ rate hike expectations has been associated with JPY appreciation. **We believe the backdrop is that, amid rising expectations of BoJ hikes—**

partly due to pressure from the United States—concerns that the BOJ will fall behind the curve have receded.

Currently, USD/JPY is significantly higher than the level implied by the US-Japan interest rate differential (Figure 4). The gap between the fair value implied by the correlation with the rate differential (the FV based on the correlation between the US-Japan 1y1y swap spread and USD/JPY from January 2024 to March 2025 is around 145-146 yen) and the spot level can be viewed as a risk premium driven by concerns over the Takaichi administration's economic policies. In addition, the spread between the 1y1y rate and the 2y1y rate can be treated as a proxy for "behind-the-curve" concerns. Figure 5, which compares behind-the-curve concerns with the USD/JPY risk premium, suggests that as USD/JPY moved toward its high of 163.99 in July this year, the risk premium widened against a backdrop of increasing behind-the-curve concerns; more recently, the decline in behind-the-curve concerns—and the associated compression of the risk premium—appears to have contributed to the pullback in USD/JPY.

That said, looking at the 1y1y and 2y1y rates, BoJ rate hike expectations peaked on September 2nd, while behind-the-curve concerns (as measured by the 2y1y–1y1y spread) receded the most on September 4th—meaning this week's JPY appreciation cannot be explained by these factors. In other words, last week's move—USD/JPY falling from the post-intervention high of 160.40 to the low-155 area—can be explained by rising BOJ hike expectations and behind-the-curve concerns, but this week's move—USD/JPY breaking below 155 and dipping temporarily into the 152 area—cannot be explained by those same factors (and, as noted above, the data released this week did not suggest a GPIF allocation shift either). Note that, a USD/JPY level consistent with the current degree of behind-the-curve concerns, as proxied by the 2y1y–1y1y spread, is around 157 yen (Figure 6).

Figure 3: Rising expectations of BoJ rate hikes are starting to translate into yen appreciation

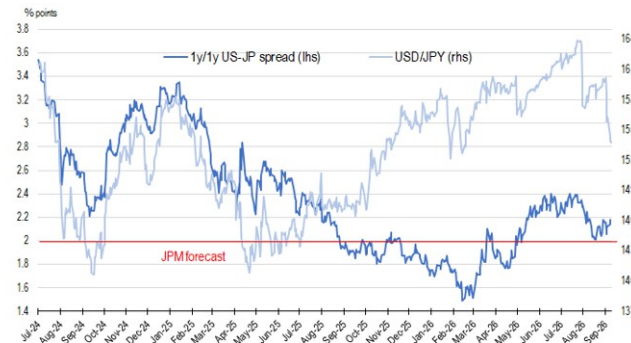
Yen's 1y forward 1y swap rate and USD/JPY



Source: Bloomberg Finance L.P., J.P.Morgan

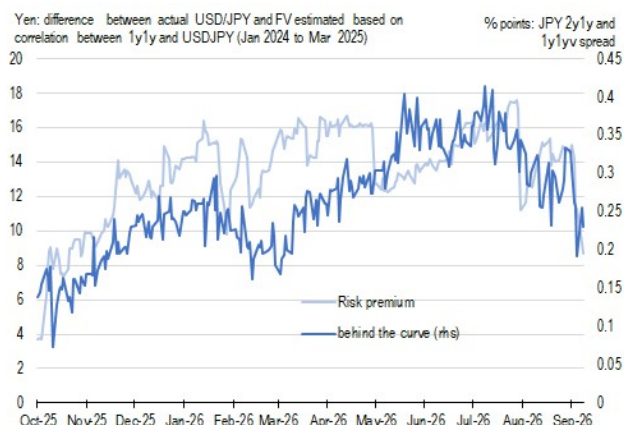
Figure 4: The gap between interest rate differentials and USD/JPY reflects a risk premium driven by concerns over the Takaichi administration's economic policies

US-JP spread in 1y forward 1y swap rate and USD/JPY



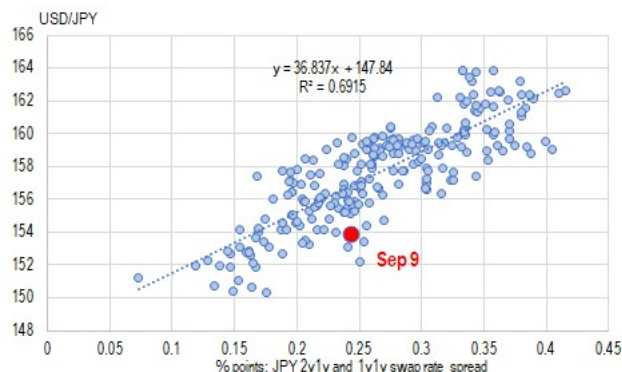
Source: Bloomberg Finance L.P., J.P.Morgan

Figure 5: Diminishing concerns that the BOJ is behind the curve are driving a narrowing of the risk premium



Source: Bloomberg Finance L.P., J.P.Morgan

Figure 6: Even after accounting for the pullback in behind-the-curve concerns, the current yen appreciation looks overdone



Source: Bloomberg Finance L.P., J.P.Morgan

Outlook: Mid-term JPY depreciation risk has eased somewhat, but it is premature to judge that the range has shifted lower

It is important that, against the backdrop of fading “behind-the-curve” concerns, the relationship between BOJ rate hike expectations and the FX rate has normalized. At the very least, we are no longer in a situation where “no matter how much the BOJ hikes, JPY depreciation does not stop,” and it is fair to say that the risk of USD/JPY rising further beyond the recent high of 163.99 has declined.

That said, the normalization of the correlation between BOJ rate hike expectations and the JPY (i.e., a return to a positive correlation) also means that if rate hike expectations retreat, the probability of JPY weakening increases. At present, **the market is already pricing in a pace of hikes that exceeds our forecast, and the near-term risk may in fact be skewed toward a pullback in BOJ hike expectations and JPY selling.** The BOJ has so far maintained a stance of “assessing past hikes before the next hike,” and reconciling this with the market’s expectation of one hike per quarter appears to be a difficult task. In addition, if there are dissenting votes against a hike, that could be interpreted as evidence that government pressure on the BOJ remains (see [BoJ preview](#)). **A retreat in BOJ rate-hike expectations could lift behind-the-curve concerns again and, through an expansion of the risk premium, increase depreciation pressure on the JPY.**

As noted above, while the various factors can explain last week’s decline in USD/JPY down to the lower end of the range (155), they do not necessarily explain the range break and the subsequent acceleration in JPY strength this week. Therefore, we cannot rule out the possibility that the recent USD/JPY decline has overshot to the downside and has been driven by technical flows. Moreover, **factors such as Fed rate hikes (the September FOMC decision could be a close call) and concerns over Japan’s fiscal policy (accelerated BOJ hikes could also heighten concerns about a rising debt-servicing burden) could also lead USD/JPY higher.**

For these reasons, we believe it is premature to conclude that the assumed USD/JPY 155–165 range has shifted lower. Looking ahead, we see a higher likelihood that, rather than USD/JPY continuing to fall and breaking materially below 150, it will rebound and revert to the 155–165 range as it becomes clear that policy responses will not meet market expectations. **Risks to this view** include (i) a scenario in which the probability of the yen-appreciation case presented in [What is needed to halt or reverse the weak yen trend?](#)

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(including a change to the GPIF's basic portfolio) increases, and (ii) a scenario in which the view that there is a relatively large JPY short position—built on concerns over the Takaichi administration's economic policies—proves correct and that position is unwound on a significant scale.

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